

actions beforehand. And, so far, the politicians have shown no ability to either cut costs or raise revenues in anticipation of the growing debt problem. Politicians only respond to a crisis when they have someone to blame—either the market, or the bankers, or anybody but themselves—and then they will act. The Western world has a huge debt problem and is managing it very poorly.

So where does that leave you? On the one hand, you have all these indicators that tell you the economy is better than most people think it is, while on the other hand, you have this storm cloud that when it hits will presumably take the market down sharply, at least initially.

We are trying to focus on industries and companies that will do okay, regardless of the economy, and on international economies that we expect will continue to do well.

What kind of companies would be more immune to a contraction in the economy?

Companies that offer solutions to problems. One example is Celanese. They are working on a process to produce ethanol from natural gas at much lower costs. If they can take cheap natural gas and turn it into ethanol and undercut the current price of ethanol, and possibly even gasoline, they would be able to capture a share of the huge fuel market, regardless of what the economy is doing.

Which countries are you focusing on that you believe have the best long-term prospects?

China is one, but with the caveat that centrally run economies generally don't do well. We like Indonesia. Fifteen years ago, they were a basket case, but now, they have a sound budget, exports are growing, and the economy has been doing well for several years. We also like Brazil, Singapore, and Colombia.

Colombia? That is not one I would have expected on the list.

Ten years ago, you couldn't drill a well in Colombia because you would get shot. The FARC was all over the place. Now the government will actually base military personnel at drilling operations. The Putumayo Basin is largely unexplored because people couldn't get in there before